Solution

Dr. Income and Expenditure Account for the year ended 31st March, 2017 Cr.

Expenditure	₹	Income	₹	₹
		By Subscription	25,000	
		Less: Subscription for the year 2015-16	2,000	
			23,000	
		Less: Subscription for the year 2017-18	1,500	
			21,500	
		Add: Outstanding subscription for the year 2016-17	500	22,000

Balance sheet as on 31st March, 2017

Liabilities	₹	Assets	₹
Subscription received in advance for the year 2017-18	1,500	Outstanding subscription for the year 2016-2017	500

Illustration 11

Compute income from subscription for the year 2018 from the following particulars relating to a club.

Particulars	1.1.2018 ₹	31.12.2018 ₹
Outstanding subscription	10,000	7,000
Subscription received in advance	3,000	5,000

Subscription received during the year 2018: ₹ 1,50,000.

Solution

Calculation of income from subscription for the year 2018

Particulars	₹	₹
Subscription received during the year 2018		1,50,000
Add: Subscription received for 2018 in 2017	3,000	
Subscription outstanding for 2018	7,000	10,000
		1,60,000
Less: Subscription outstanding in 2017	10,000	
Subscription received in advance in 2018	5,000	15,000
Income from subscription for the year 2018		1,45,000

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